Sales Budget and Contribution

Product-level revenue, cost and contribution margin, with the effect of import cost. Sample company, illustrative figures.

A note on scope. This workbook covers seven sample products, labelled a to g. I could not share the real product names, brands or the wider range from my previous employer, so the model is deliberately small. There is also no remarks column, because explanations of the budget would reflect that employer's internal reasoning. The aim is to show the method, not a complete product portfolio.

How the budget is built

Head office gives a total sales budget, the team allocates it across products, and prices and margins are then adjusted for import cost and exchange rate movements. In the sheet, revenue is quantity times budgeted net selling price, freight is deducted to reach net realisation, and cost of goods sold is shown two ways: the unit cost in the budget file and the unit cost at import value. The exchange rates sit in two input cells at the top (123 BDT per USD current and 125 for the budget), so a rate change flows through without editing any formula.

Products

Product	Type	Unit	Qty	Budget price (USD)	Revenue	COGS (budget)	COGS (import)	Cont % (budget)	Cont % (import)
a	B2C	L	6	17.0	102	60	61	41%	39%
b	B2C	L	6	17.0	102	66	66	35%	34%
c	B2C	L	6	17.0	102	54	59	46%	41%
d	B2B	KG	20	8.0	160	140	138	11%	12%
e	B2C	KG	20	8.0	160	120	116	24%	26%
f	B2C	KG	20	8.0	160	120	138	24%	12%
g	B2C	KG	20	10.0	200	160	150	19%	24%
Total					**986**	**720**	**729**	**26%**	**25%**

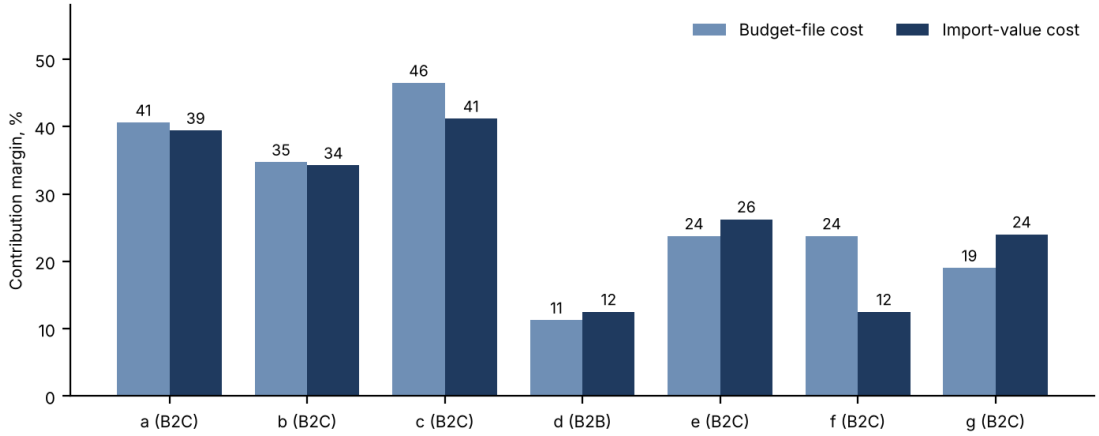
Contribution % here is measured after freight (net realisation less COGS, divided by revenue). Amounts are in the model's currency units.

By business type

Business type	Revenue	COGS (import)	Contribution	Cont %
B2B	160.0	138.0	22.0	14%
B2C	826.0	591.1	234.9	28%
Total	**986.0**	**729.1**	**256.9**	**26%**

This summary takes revenue less COGS at import value, before freight, which is why total contribution here (256.9, 26%) is a little higher than the 247.1 (25%) in the product table.

What import cost does to margin



Costing every product at import value instead of the budget-file cost raises total COGS from 720.0 to 729.1 (+1.3%), and contribution falls by the same 9.1. The damage is concentrated: product f is the clearest case, with a unit cost of 6 in the budget file against 6.9 at import value, and its margin drops from 24% to 12%. Products d, e and g actually cost less at import value, so the effect is not one-directional. Where the margin is already thin, as with the B2B product at 12%, a small cost move matters more.

Budget prices are also set well above current prices: between 11% and 33% higher in BDT terms. With the budget rate at 125 against 123 today, the exchange rate gap explains less than two points of that, so almost all of it is price increase. The plan only works if both the price rises and the volumes hold.

Limits of this model

Seven sample products, one year, and a single exchange rate per scenario. There is no volume or price sensitivity, and no phasing by month. The numbers are illustrative and are not a benchmark for any real business.